STRATEGIC ADVISORY

Salesforce / GitLab

Strategic combination review

Acquisition assessment and recommended path forward

September 2026

The decision is whether ownership earns its cost

Strategic question	Can Salesforce create more value from GitLab through acquisition than through a commercial partnership?
Transaction assessed	$62.29 per share; $10.73bn equity consideration; 25% premium to the $49.83 reference price.
Decision framework	Assess strategic necessity, standalone value, integration benefits and the effect on Salesforce shareholders.

Recommended path: pursue a partnership and defer an acquisition at $62.29.

Source: September 2026 transaction analysis; estimates unless marked actual.

Do not pursue an acquisition at $62.29

$20.31
Base DCF value per share

(5.9%)
Year 3 recurring EPS impact

$99.6m
Annual cost synergies at full run rate

Valuation	The proposed price is 3.1x base DCF value; the 20x EBIT exit case yields $33.24 per share.
Shareholder returns	The base cost programme does not offset purchase amortization, financing costs and share issuance.

Authorize commercial diligence; retain price discipline before any bid.

Source: September 2026 transaction analysis; estimates unless marked actual.

Test the commercial thesis before acquiring

Opportunity	Potential value	Evidence required
Slack integration	Connect development activity with business workflows	Paid adoption and repeat usage
Enterprise distribution	Expand access to large Salesforce accounts	Incremental bookings and acquisition cost
AI governance	Combine business context with delivery controls	Security approval and willingness to pay

Require evidence that ownership adds value beyond an integration and co-sell agreement.

Source: September 2026 transaction analysis; estimates unless marked actual.

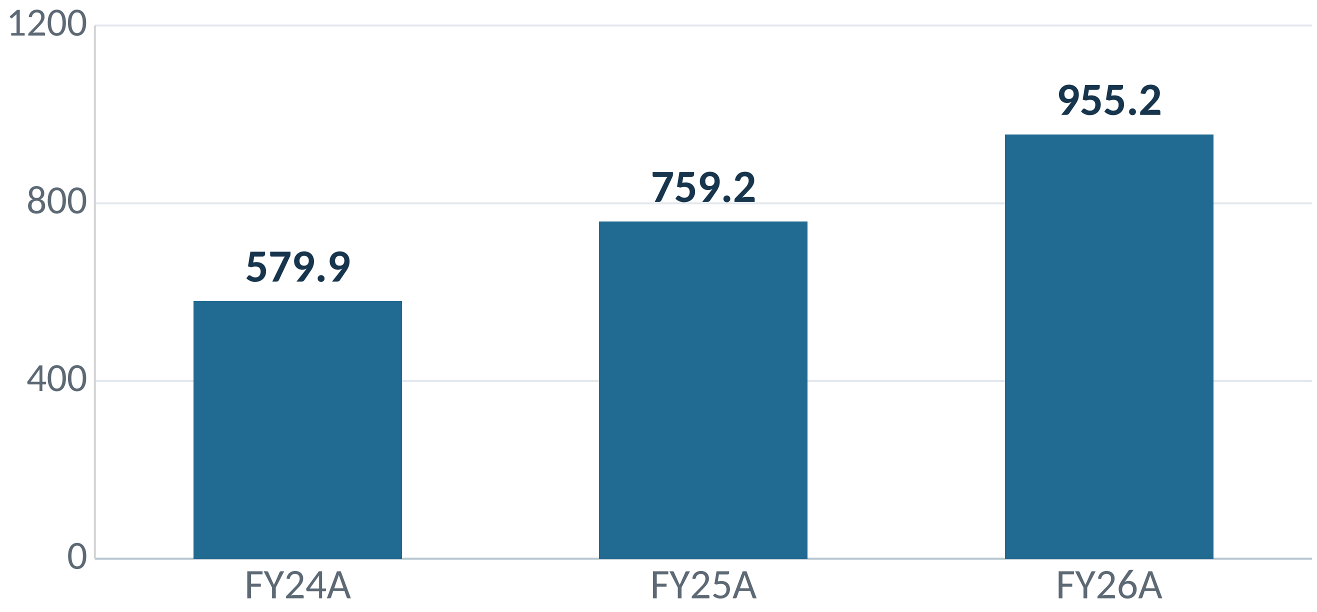
Scale is complementary; returns remain the issue

USD millions, except margins	Salesforce	GitLab
FY2026 revenue	41,525.0	955.2
LTM revenue to July 2026	43,938.0	1,055.2
LTM GAAP operating margin	19.9%	(8.5%)
Cash and liquid securities[1]	11,403.0	1,257.0
Reported debt[1]	39,288.0	—

[1] July 2026 balances. Target revenue is approximately 2.4% of Salesforce LTM revenue.

Growth has not yet produced GAAP profit

GitLab revenue ($m)



26%

FY2026 revenue growth

(8.5%)

LTM GAAP operating margin

Value depends on margin improvement and lower stock-based compensation.

Cash-flow value falls well below the offer

Valuation approach	Value per share	Interpretation
DCF sensitivity range	$16.46–$28.07	Intrinsic-value range
DCF: 20x GAAP EBIT exit	$33.24	Alternative terminal case
Trading comparables	$53.26–$108.63	Market reference
Proposed offer	**$62.29**	**25% premium**

The offer exceeds the higher DCF marker by 87%; peer multiples do not close that gap.

Identified savings do not close the earnings gap

Annual run-rate savings	USD millions
Corporate and public-company costs	44.4
Selling overlap	47.0
Infrastructure and vendors	8.2
Total identified savings	**99.6**

Year 3 EPS-neutral savings: $878.5m — approximately 8.8x the base case.

No R&D cuts or revenue synergies are included in the base cost programme.

Source: September 2026 transaction analysis; estimates unless marked actual.

Funding flexibility does not fix the purchase price

25%

Cash consideration

25%

New debt

50%

Salesforce shares

Funding requirement	$10.88bn including transaction and financing fees; $2.83bn of Salesforce cash is used.
Capital allocation	The mix preserves part of the cash balance but creates interest expense and additional shares.

Select the financing mix only after the acquisition meets the return threshold.

Source: September 2026 transaction analysis; estimates unless marked actual.

Recurring EPS remains diluted through Year 3

Per-share earnings	Year 1 / FY28E	Year 2 / FY29E	Year 3 / FY30E
Salesforce standalone EPS	$8.93	$10.51	$11.88
Recurring pro forma EPS	$8.06	$9.71	$11.17
Recurring EPS impact	**(9.7%)**	**(7.6%)**	**(5.9%)**
Impact excluding new PPA	(5.0%)	(3.5%)	(2.4%)

Dilution persists even before incremental purchase-price amortization.

Source: September 2026 transaction analysis; estimates unless marked actual.

Protect the asset while testing the economics

Risk	Potential consequence	Required response
Developer retention	Customer or contributor losses from reduced vendor neutrality	Preserve product autonomy; interview major customers
Integration execution	Roadmap disruption and delayed synergy capture	Protect engineering spend; validate owners and costs
Financial underwriting	SBC, amortization or financing costs exceed the base case	Reconcile the operating model and purchase accounting
Transaction execution	Approval delays, employee attrition or restrictive terms	Review regulatory exposure, retention and deal conditions

Source: Strategic assessment; proposed diligence priorities.

Use a 90-day programme to test customer demand

Timing	Workstream	Decision evidence
Days 1–30	Confirm demand and economics	Customer interviews; account overlap; validated baseline and pilot scope
Days 31–60	Run integration and co-sell pilots	Usage, paid conversions, delivery cost and customer feedback
Days 61–90	Review results and alternatives	Incremental gross profit; retention; partnership versus ownership value

Return with measured commercial results and an updated acquisition valuation.

Source: Proposed work plan; timing begins upon approval.

Pursue partnership; reopen M&A only on evidence

Decision today	Defer the acquisition at $62.29 per share and authorize partnership discussions.
Conditions to return	Demonstrate ownership-specific cash flows, sustainable SBC reduction and a credible integration budget.
Price discipline	Reassess consideration against updated standalone value and net synergies; require acceptable shareholder returns.

Strategic fit warrants diligence. The current economics do not support a bid.

Source: September 2026 transaction analysis; estimates unless marked actual.

Historical financial performance

GitLab ($m)	FY2024A	FY2025A	FY2026A	LTM Jul-26
Revenue	579.9	759.2	955.2	1,055.2
GAAP EBIT	(187.4)	(142.7)	(70.5)	(90.2)
Stock-based compensation	163.0	185.9	215.0	229.9
Operating cash flow less capex	33.4	(67.7)	222.0	213.7

Cash flow includes the benefit of non-cash SBC; assess its dilution cost separately.

Source: September 2026 transaction analysis. A = actual; LTM = last twelve months.

Operating forecast and cash-flow assumptions

GitLab forecast	FY2027E	FY2028E	FY2030E	FY2032E
Revenue ($m)	1,131.0	1,334.6	1,764.8	2,174.3
EBIT margin before SBC	14.0%	20.0%	27.0%	31.0%
SBC / revenue	23.0%	22.0%	18.0%	14.0%
GAAP EBIT margin	(9.0%)	(2.0%)	9.0%	17.0%
Unlevered FCF after SBC ($m)	(155.5)	12.6	164.1	322.7

Forecasts reflect the transaction case and are not company guidance.

Source: September 2026 transaction analysis; estimates unless marked actual.

DCF outputs and terminal-value dependence

$20.31

Perpetuity-growth value / share

$33.24

20x GAAP EBIT exit value / share

80.4%

Terminal PV / perpetuity DCF EV

USD millions	FY2028E	FY2030E	FY2032E
GAAP EBIT	(26.7)	158.8	369.6
Full-year unlevered FCF	12.6	164.1	322.7
PV of included FCF	10.8	113.2	179.1

Terminal assumptions carry most of the value; confirm WACC, growth and stub timing.

Source: September 2026 transaction analysis; estimates unless marked actual.

Selected public trading comparables

Company	EV ($bn)	Forward sales ($bn)	EV / sales	Implied price[1]
Atlassian	47.68	7.43	6.4x	$53.26
Datadog	71.87	5.11	14.1x	$108.63
JFrog	9.85	0.73	13.4x	$104.01

[1] GitLab value per share using the peer multiple and the source analysis equity bridge.

Selected strategic transaction precedents

Announced / target	Acquirer	Headline value	Value basis
2024 / HashiCorp	IBM	$6.4bn	Enterprise value
2023 / New Relic	FP / TPG	$6.5bn	Equity value
2023 / Sumo Logic	Francisco Partners	$1.7bn	Equity value
2018 / GitHub	Microsoft	$7.5bn	Stock consideration
2017 / AppDynamics	Cisco	$3.7bn	Cash and awards

Headline values use different definitions; they do not form a comparable EV range.

Source: September 2026 transaction analysis; estimates unless marked actual.

Sources and uses of funds

Uses ($m)	Amount	Sources ($m)	Amount
Equity purchase price	10,731.0	Salesforce cash	2,830.3
Target debt refinancing	—	New debt	2,682.7
Advisory and legal fees	107.3	Salesforce shares	5,365.5
Debt issuance fees	40.2	—	—
Total uses	**10,878.5**	**Total sources**	**10,878.5**

Cash funds 25% of consideration plus fees. Totals use unrounded source values.

Purchase-price allocation and amortization

Incremental intangible	Write-up ($m)	Life (years)	Annual amort. ($m)
Customer relationships	2,008.9	10	200.9
Developed technology	1,171.8	5	234.4
Trade names	167.4	5	33.5
Total	**3,348.1**	**—**	**468.7**

New goodwill: $7.26bn

New deferred tax liability: $786.8m

Source: September 2026 transaction analysis; estimates unless marked actual.

Year 3 EPS sensitivity to price and savings

Premium / savings	$50m	$100m	$150m	$200m	$300m
15%	(5.6%)	(5.2%)	(4.9%)	(4.5%)	(3.7%)
20%	(6.0%)	(5.6%)	(5.2%)	(4.8%)	(4.1%)
25%	**(6.3%)**	**(5.9%)**	**(5.5%)**	**(5.2%)**	**(4.4%)**
30%	(6.7%)	(6.3%)	(5.9%)	(5.5%)	(4.7%)
35%	(7.0%)	(6.6%)	(6.2%)	(5.9%)	(5.1%)

All tested combinations remain dilutive; $100m approximates the $99.6m base savings.

Source: September 2026 transaction analysis; estimates unless marked actual.

Valuation basis and diligence requirements

Financial basis	Historical figures and valuation outputs follow the September transaction analysis. Forecasts reflect the acquisition case.
Price and value	The $49.83 reference price is the case input. Confirm its market date, diluted shares and the cash-to-equity bridge before a bid.
Model confirmation	Reconcile WACC, terminal growth, SBC, synergy timing, purchase accounting and financing assumptions to the underlying workbook.

USD millions unless stated. FY = year ending January 31; E = estimate; PPA = purchase-price allocation.